HSBC Global Investment Research

2 June 2026

Alphabet (GOOGL US)

Buy: Google announces USD80bn capital raise

Equities
IT Services

United States

- Unexpected Google capital raise adds to IPO activity at wider sector level that now includes Anthropic IPO
- Proposed capital raise to fund AI infrastructure / compute growth and employee equity grant tax obligations
- Retain Buy, cut TP to USD420 (from USD435), implying ~14% upside. GOOGL remains uniquely placed to benefit from AI

Google raise adds to IPO activity at wider sector level: Alphabet has already scaled back buybacks and raised capital via the bond markets to support increased capex spend / M&A in 2026, and flagged a further significant increase in capex in 2027 (see our note: *'Global Tech: 2026 HSBC's key tech discussion points updated'*, 22 May 2026). However, an announced proposed capital raise so soon was unexpected and adds to elevated fundraising / IPO activity at the wider sector level that now includes Anthropic, which confidentially filed an intention to float on 1 June 2026, and ahead of an anticipated filing from OpenAI. So as not to be put at a competitive disadvantage, we cannot rule out further capital raises from other hyperscalers looking to build out AI infrastructure / compute capabilities against what appears to be a backdrop of strong investor demand.

Capital raise to fund AI infrastructure / compute and employee tax obligations:

- Concurrent underwritten offerings: USD30bn public offerings, consisting of: USD15bn in depositary shares representing mandatory convertible preferred stock; and USD15bn in common shares.
- At-the-market offering: USD40bn at-the-market (ATM), offering for Class A Common Stock and Class C Capital Stock over time, expected to begin in Q3.
- Alphabet will sell USD10bn of stock to Berkshire Hathaway (BRK US, USD471.58, n/r) in a private placement comprising USD5bn of Class A and Class C shares at price of USD351.81 and USD348.20 per share respectively.

Use of proceeds: Alphabet will use the net proceeds from the underwritten public offerings and private placement, i.e. USD40bn, to expand AI infrastructure / compute capabilities and for general corporate purposes. The latter includes the cost of related capped call transactions funded specifically from depositary share proceeds, and thus theoretically capped at USD15bn. The ATM offering will facilitate, for a 'period of time', administrative changes to how the company meets vesting employee equity award tax obligations, which Alphabet will now settle on behalf of employees with corporate cash, up to an expected value of USD30bn in 2026.

Remain Buy rated with USD420.00 TP (from USD435.00), implying ~14% upside: We update our model for the release, making no changes to estimates with the exception of our overall share count, which drives the trimming of our TP to USD420 from USD435. **Next potential catalyst:** Alphabet Q2 earnings 22 July 2026 (TBC).

MAINTAIN BUY

TARGET PRICE (USD)	PREVIOUS TARGET (USD)
420.00	**435.00**

SHARE PRICE (USD)	UPSIDE/DOWNSIDE
369.17	**+13.8%**

(as at 10.11am UKT 02 June 2026)

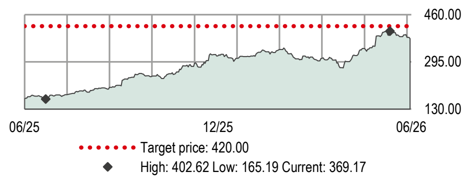
MARKET DATA

Market cap (USDm)	4,398,726	Free float	87%
Market cap (USDm)	4,398,726	BBG	GOOGL US
3m ADTV (USDm)	9,585	RIC	GOOGL.N

FINANCIALS AND RATIOS (USD)

Year to	12/2025a	12/2026e	12/2027e	12/2028e
HSBC EPS	10.81	14.24	14.09	16.40
HSBC EPS (prev)	10.81	14.62	14.47	16.86
Change (%)	0.0	-2.6	-2.7	-2.7
Consensus EPS	10.62	14.12	14.51	17.02
PE (x)	34.2	25.9	26.2	22.5
Dividend yield (%)	0.2	0.2	0.3	0.3
EV/EBITDA (x)	28.3	19.9	15.9	12.8
ROE (%)	35.7	30.5	20.5	19.0

52-WEEK PRICE (USD)



Source: LSEG IBES, HSBC estimates

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Financials & valuation: Alphabet

Buy

Financial statements

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Profit & loss summary (USDm)				
Revenue	402,836	490,450	595,667	691,744
EBITDA	150,175	207,450	261,503	321,681
Depreciation & amortisation	-21,136	-32,360	-53,350	-81,396
Operating profit/EBIT	129,039	175,091	208,153	240,285
Net interest	3,601	1,950	238	-1,014
PBT	158,826	215,408	209,749	240,629
HSBC PBT	158,826	215,408	209,749	240,629
Taxation	-26,656	-38,027	-37,028	-42,480
Net profit	132,170	177,381	172,721	198,150
HSBC net profit	132,170	177,381	172,721	198,150
Cash flow summary (USDm)				
Cash flow from operations	164,713	166,667	244,214	309,678
Capex	-91,447	-190,000	-250,000	-250,000
Cash flow from investment	-120,291	-172,715	-250,000	-250,000
Dividends	-10,050	-10,718	-11,244	-11,622
Change in net debt	4,478	-73,945	29,921	-34,448
FCF equity	73,266	-23,333	-5,786	59,678
Balance sheet summary (USDm)				
Intangible fixed assets	33,380	67,218	67,218	67,218
Tangible fixed assets	261,818	418,747	615,397	784,002
Current assets	206,038	326,840	316,978	364,324
Cash & others	126,843	231,742	201,821	233,609
Total assets	595,281	969,225	1,156,013	1,371,963
Operating liabilities	123,938	100,002	101,307	104,148
Gross debt	46,547	77,501	77,501	74,841
Net debt	-80,296	-154,241	-124,320	-158,768
Shareholders' funds	415,265	749,265	934,749	1,150,518
Invested capital	250,455	481,062	696,466	877,786

Ratio, growth and per share analysis

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Y-o-y % change				
Revenue	15.1	21.7	21.5	16.1
EBITDA	17.6	38.1	26.1	23.0
Operating profit	14.8	35.7	18.9	15.4
PBT	32.6	35.6	-2.6	14.7
HSBC EPS	34.4	31.8	-1.1	16.4
Ratios (%)				
Revenue/IC (x)	1.9	1.3	1.0	0.9
ROIC	50.0	39.4	29.1	25.1
ROE	35.7	30.5	20.5	19.0
ROA	25.4	23.0	16.5	15.9
EBITDA margin	37.3	42.3	43.9	46.5
Operating profit margin	32.0	35.7	34.9	34.7
EBITDA/net interest (x)				317.2
Net debt/equity	-19.3	-20.6	-13.3	-13.8
Net debt/EBITDA (x)	-0.5	-0.7	-0.5	-0.5
CF from operations/net debt				
Per share data (USD)				
EPS Rep (diluted)	10.81	14.24	14.09	16.40
HSBC EPS (diluted)	10.81	14.24	14.09	16.40
DPS	0.84	0.88	0.92	0.97
Book value	34.27	60.84	77.11	96.30

Key forecast drivers

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Revenue - Google services	342,721	391,596	419,939	451,365
Revenue - Google Cloud	58,705	97,677	174,423	239,176
Revenue - Other Bets	1,537	1,416	1,305	1,203
Operating Income - Google services	139,404	175,870	189,113	204,634
Operating Income - Google Cloud	13,910	29,849	52,229	71,619
Operating Income - Other Bets	-7,515	-7,237	-7,460	-7,664

Valuation data

Year to	12/2025a	12/2026e	12/2027e	12/2028e
EV/sales	10.5	8.4	7.0	6.0
EV/EBITDA	28.3	19.9	15.9	12.8
EV/IC	17.0	8.6	6.0	4.7
PE*	34.2	25.9	26.2	22.5
PB	10.8	6.1	4.8	3.8
FCF yield (%)	1.7	-0.5	-0.1	1.4
Dividend yield (%)	0.2	0.2	0.3	0.3

* Based on HSBC EPS (diluted)

ESG metrics

Environmental Indicators	12/2024a
GHG emission intensity*	8.9
Energy intensity*	n/a
CO_2 reduction policy	Yes
Social Indicators	**12/2024a**
Employee costs as % of revenues	n/a
Employee turnover (%)	n/a
Diversity policy	Yes

Governance Indicators	12/2025a
No. of board members	10
Average board tenure (years)	16.0
Female board members (%)	10
Board members independence (%)	70

Source: Company data, HSBC

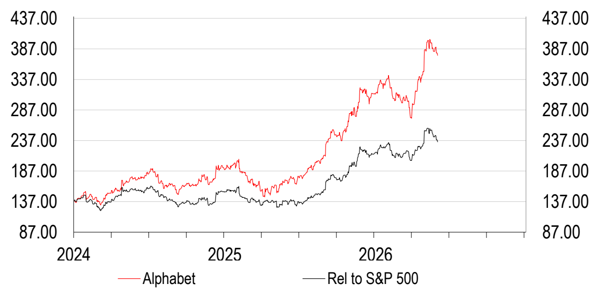
* GHG intensity and energy intensity are measured in kg and kWh respectively against revenue in USD '000s

Issuer information

Share price (USD)	369.17
Target price (USD)	420.00
RIC (Equity)	GOOGL.N
Bloomberg (Equity)	GOOGL US
Market cap (USDm)	4,398,726

Free float	87%
Sector	It Services
Country/Region	United States
Analyst	Paul Rossington
Contact	+44 20 7991 6734

Price relative



Source: HSBC

Note: Priced (as at 10.11am UKT 02 June 2026)

Changes to HSBC estimates

Changes in HSBC estimates

	New Estimates			Old Estimates			% Changes		
Alphabet (In USDbn)	2026e	2027e	2028e	2026e	2027e	2028e	2026e	2027e	2028e
Total revenue	**490.4**	**595.7**	**691.7**	**490.4**	**595.7**	**691.7**	**0.0%**	**0.0%**	**0.0%**
Google Services	391.6	419.9	451.4	391.6	419.9	451.4	0.0%	0.0%	0.0%
Google Cloud	97.7	174.4	239.2	97.7	174.4	239.2	0.0%	0.0%	0.0%
Total EBIT	**175.1**	**208.2**	**240.3**	**175.1**	**208.2**	**240.3**	**0.0%**	**0.0%**	**0.0%**
Google Services	175.9	189.1	204.6	175.9	189.1	204.6	0.0%	0.0%	0.0%
Google Cloud	**29.8**	**52.2**	**71.6**	**29.8**	**52.2**	**71.6**	**0.0%**	**0.0%**	**0.0%**
PBT	**215.4**	**209.7**	**240.6**	**215.4**	**209.7**	**240.7**	**0.0%**	**0.0%**	**0.0%**
Income Tax	38.0	37.0	42.5	38.0	37.0	42.5	0.0%	0.0%	0.0%
Net Income	**177.4**	**172.7**	**198.1**	**177.4**	**172.7**	**198.2**	**0.0%**	**0.0%**	**0.0%**
Diluted EPS	**14.24**	**14.09**	**16.40**	**14.62**	**14.47**	**16.86**	**-2.6%**	**-2.7%**	**-2.7%**
DPS	0.88	0.92	0.97	0.88	0.92	0.97	0.0%	0.0%	0.0%
Capex	**190.0**	**250.0**	**250.0**	**190.0**	**250.0**	**250.0**	**0.0%**	**0.0%**	**0.0%**
FCF	-23.3	-5.8	59.7	6.7	-5.8	59.8	n/r	0.0%	-0.1%

Source: HSBC estimates

Our FCF forecast falls materially due to the presumed incurred USD30bn tax cash outflows in Q4 related to the vesting employee equity award tax obligations, which Alphabet will now settle on behalf of employees with corporate cash.

Valuation and risks

Alphabet GOOGL US

Buy

Current price: **USD369.17**

Target price: **USD420.00**

Up/downside: **+13.8%**

Valuation

We use SOTP analysis to reach our target price of USD420.00 (from USD435), based on unchanged peer group multiples.

Our TP implies ~14% upside. We retain our Buy rating as we see scope for further margin expansion alongside our positive view across both Search, Cloud and YouTube. We see Alphabet as being well placed to deal with market shocks.

Our full valuation can be found overleaf.

Risks to our view

Downside risks

- Google Search losing meaningful query market share.
- Google Cloud failing to win further contracts and reaching a lower market share than expected.
- Price war within cloud server providers market impacting margins.
- Adverse FX scenarios
- Chasing growth, including expensive M&A
- Limited valuation support.

Priced as at 10.11am UKT 02 June 2026
Source: HSBC estimates

HSBC Alphabet SOTP valuation

	Revenues		EBIT		EV	% EV	EV/Revs		EV/EBIT		EV/Revs multiple	EV/EBIT multiple	Rationale
	FY26	FY27	FY26	FY27	FY26		FY26	FY27	FY26	FY27			
Search	262.8	280.7	157.8	168.6	3,050	65.3%	11.6x	10.9x	19.3x	18.1x		19.0x	In line with the internet peer group seeing similar EBIT growth.
YouTube Ads	45.1	50.2	7.6	9.0	214	4.6%	4.8x	4.3x	28.2x	24.0x		27.0x	Meta EV/EBIT at the HSBC TP
YouTube Subs	29.0	32.9	1.9	2.6	225	4.8%	7.8x	6.8x	120.6x	86.1x	7.5x		Unchanged
YouTube	74.1	83.0	9.5	11.6	439	9.4%	5.9x	5.3x	46.4x	38.0x			Sum of the above
Network	28.9	28.1	4.3	4.2	34	0.7%	1.2x	1.2x	7.9x	8.2x		8.0x	Mature online business seeing negative growth
Other	25.7	28.1	4.5	4.8	50	1.1%	1.9x	1.8x	11.2x	10.5x		11.0x	Mature online business seeing stable revenues
Services - Total	**391.6**	**419.9**	**176.1**	**189.1**	**3,574**	**76.5%**	**9.1x**	**8.5x**	**20.3x**	**18.9x**			
Google Cloud	97.7	174.4	29.8	52.2	1,241	26.5%	12.7x	7.1x	41.6x	23.8x		35.0x	Discount to Oracle multiple implied by HSBC TP
Other Bets	1.4	1.3	(7.2)	(7.5)	100	2.1%	70.6x	76.6x	-13.8x	-13.4x			Assumption for Waymo
Alphabet-level activities			(23.4)	(25.7)	(239.8)	-5.1%						8.0x	Mature online business seeing negative growth
Total	**490.7**	**595.7**	**175.3**	**208.2**	**4,674**	**100.0%**	**9.5x**	**7.8x**	**26.7x**	**22.5x**			
Tax benefit					10%								
Total EV					**5,142**		**10.5x**	**8.6x**	**29.3x**	**24.7x**			
Net debt (2025 adjusted for Wiz acquisition)					**48.3**								
Other					82								
Equity value					**5,272**								
# shares outstanding (bn)					12.7								
Target price (USD, rounded)					**420.00**								
Implied upside					**13.8%**								

Source: HSBCe Priced as at 10.11am UKT 02 June 2026

Companies mentioned in our Alphabet SOTP

Company	Ticker	Closing price (USD)	Rating	Target price (USD)
Oracle	ORCL US	238.54	Buy	345.00
Meta	META US	606.77	Buy	905.00

Source: HSBC, LSEG Workspace
Priced as at 10.11am UKT 02 June 2026

Disclosure appendix

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Our ratings are re-calibrated against these bands at the time of any 'material change' (initiation or resumption of coverage, change in target price or estimates).

Upside/Downside is the percentage difference between the target price and the share price.

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*A stock was classified as volatile if its historical volatility had exceeded 40%, if the stock had been listed for less than 12 months (unless it was in an industry or sector where volatility is low) or if the analyst expected significant volatility. However, stocks which we did not consider volatile may in fact also have behaved in such a way. Historical volatility was defined as the past month's average of the daily 365-day moving average volatilities. In order to avoid misleadingly frequent changes in rating, however, volatility had to move 2.5 percentage points past the 40% benchmark in either direction for a stock's status to change.

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Buy	59%	(12% of these provided with Investment Banking Services in the past 12 months)
Hold	36%	(12% of these provided with Investment Banking Services in the past 12 months)
Sell	6%	(6% of these provided with Investment Banking Services in the past 12 months)

For the purposes of the distribution above the following mapping structure is used during the transition from the previous to current rating models: under our previous model, Overweight = Buy, Neutral = Hold and Underweight = Sell; under our current model Buy = Buy, Hold = Hold and Reduce = Sell. For rating definitions under both models, please see "Stock ratings and basis for financial analysis" above.

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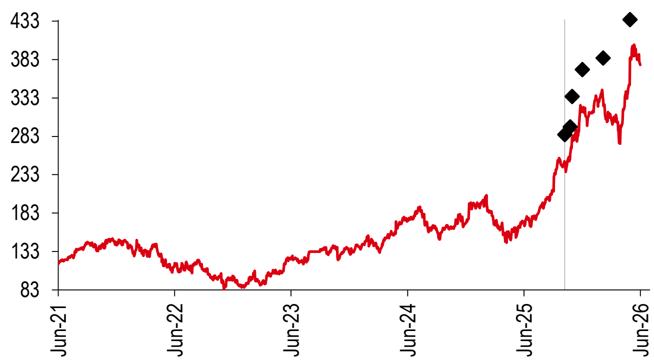
Share price and rating changes for long-term investment opportunities

Alphabet (GOOGL.N) share price performance USD Vs HSBC rating history



Source: HSBC

Rating & target price history

From	To	Date	Analyst
N/A	Buy	07 Oct 2025	Paul Rossington
Target price	**Value**	**Date**	**Analyst**
Price 1	285.00	07 Oct 2025	Paul Rossington
Price 2	295.00	24 Oct 2025	Paul Rossington
Price 3	335.00	30 Oct 2025	Paul Rossington
Price 4	370.00	02 Dec 2025	Paul Rossington
Price 5	385.00	05 Feb 2026	Paul Rossington
Price 6	435.00	30 Apr 2026	Paul Rossington

Source: HSBC

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Company	Ticker	Recent price	Price date	Disclosure
ALPHABET	GOOGL.N	376.37	01 Jun 2026	1, 5, 6, 7

Source: HSBC

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13 As of 27 May 2026, HSBC beneficially held a net short position of more than 0.5% of this company's total issued share capital, calculated according to the SSR methodology.
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